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***731 Erven Warnink Besloten Vennootschap and Another Appellants v J. Townend & Sons (Hull) Ltd. and Another Respondents**



Positive/Neutral Judicial Consideration

Court

House of Lords

Judgment Date

21 June 1979

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[1979] 3 W.L.R. 68

[1979] A.C. 731



House of Lords

Lord Diplock , Viscount Dilhorne , Lord Salmon , Lord Fraser of Tullybelton and Lord Scarman

1979 April 24, 25, 26; June 21

Passing Off—Trade description—Use of name 'advocaat'—Dutch liquor—Right to exclusive use of description—Liquor of different constitution made in England—No geographical connotation—Whether advocaat by its ingredients distinct and recognisable liquor—Unfair trading—Right to damages and injunction

The first plaintiffs and other Dutch traders had for many years manufactured in the Netherlands a liquor called 'advocaat,' which was exported to Britain and distributed by *732 the second plaintiffs. The essential ingredients were the spirit brandewijn, egg yolks and sugar as required by statutory regulations in the Netherlands, though the British regulations were not so specific. The liquor acquired a substantial reputation in Britain as a distinct and recognisable beverage. From 1974 a drink described as 'Keeling's Old English Advocaat' composed of dried egg powder mixed with Cyprus sherry was made and marketed in England by the defendants. Though it could not be shown that it was mistaken for Dutch advocaat it captured a substantial part of the

plaintiffs' English market. In a passing off action by the plaintiffs Goulding J. gave judgment for the plaintiffs. The Court of Appeal reversed his decision.

On appeal:-

Held, that the product, having a particular character by reason of its ingredients and having under a descriptive name gained a public reputation distinguishing it from competing products of a different composition, should be protected from deceptive use of its name by competitors even though the ingredients did not come from a particular locality and the goodwill attaching to the use of the name as a description of the product was shared by a number of traders; and accordingly, since there was a misrepresentation made by a trader in the course of trade to prospective customers and ultimate consumers of the goods supplied, which was calculated to injure the business or goodwill of the plaintiffs (the essential ingredients of a passing off action), and no exceptional features on grounds of public policy justified withholding a remedy, the action should succeed (post, pp. 742D-E, 745D-F, 748D-E, G, H-749B, 753H-754A, 756D-E).

J. Bollinger v. Costa Brava Wine Co. Ltd. [1960] Ch. 262 approved.

Native Guano Co. v. Sewage Manure Co. (1889) 8 R.P.C. 125, H.L.(E.) distinguished.

Per Lord Diplock: Where over a period of years there can be discerned a steady trend in legislation which reflects the view of successive Parliaments as to what the public interest demands in a particular field of law, development of the common law in that part of the same field which has been left to it ought to proceed upon a parallel rather than a diverging course (post, p. 743C-D).

Decision of the Court of Appeal [1978] F.S.R. 473 reversed.

The following cases are referred to in their Lordships' opinions:

Bollinger (J.) v. Costa Brava Wine Co. Ltd. [1960] Ch. 262; [1959] 3 W.L.R. 966; [1959] 3 All E.R. 800 .

Bollinger (J.) v. Costa Brava Wine Co. Ltd. (No. 2) [1961] 1 W.L.R. 277; [1961] 1 All E.R. 561 .

Bulmer (H. P.) Ltd. and Showerings Ltd. v. J. Bollinger S.A. [1978] R.P.C. 79, C.A.

Cutler v. Wandsworth Stadium Ltd. [1949] A.C. 398; [1949] 1 All E.R. 544, H.L.(E.).

Dent v. Turpin (1861) 2 Johns. & H. 139.

Harrods Ltd. v. R. Harrod Ltd. (1923) 41 R.P.C. 74, Romer J. and C.A.

Inland Revenue Commissioners v. Muller & Co.'s Margarine Ltd. [1901] A.C. 217, H.L.(E.).

London Armoury Co. Ltd. v. Ever Ready Co. (Great Britain) Ltd. [1941] 1 K.B. 742; [1941] 1 All E.R. 364 . *733

Native Guano Co. v. Sewage Manure Co. (1887) 4 R.P.C. 473; (1889) 8 R.P.C. 125 , C.A. and H.L.(E.).

Perry v. Truefitt (1842) 6 Beav. 66 .

Pillsbury-Washburn Flour Mills Co. v. Eagle (1898) 86 Fed.R. 608.

Reddaway v. Banham [1896] A.C. 199 , H.L.(E.).

Scott v. Tuff-Kote (Australia) Pty. Ltd. [1975] 1 N.S.W.L.R. 537 .

Shaw Brothers (Hong Kong) Ltd. v. Golden Harvest (H.K.) Ltd. [1972] R.P.C. 559 .

Singer Manufacturing Co. v. Loog (1882) 8 App.Cas. 15 , H.L.(E.).

Southorn v. Reynolds (1865) 12 L.T. 75 .

Spalding (A. G.) & Bros. v. A. W. Gamage Ltd. (1915) 84 L.J. Ch. 449; 32 R.P.C. 273 , H.L.(E.).

Star Industrial Co. Ltd. v. Yap Kwee Kor [1976] F.S.R. 256, P.C.

Vine Products Ltd. v. Mackenzie & Co. Ltd. [1969] R.P.C. 1 .

Walker (John) & Sons Ltd. v. Henry Ost & Co. Ltd. [1970] 1 W.L.R. 917; [1970] 2 All E.R. 106 .

The following additional cases were cited in argument:

American Washboard Co. v. Saginaw Manufacturing Co. (1900) 103 Fed. R. 281.

Cambridge University Press v. University Tutorial Press (1928) 45 R.P.C. 335 .

Drive Yourself Hire Co. (London) Ltd. v. A. G. Parish (trading as 'Self Drive Cars') [1957] R.P.C. 307 .

Havana Cigar and Tobacco Factories Ltd. v. Oddenino [1924] 1 Ch. 179, C.A.

Linoleum Manufacturing Co. v. Nairn (1878) 7 Ch.D. 834 .

Masson Seeley & Co. Ltd. v. Embosotype Manufacturing Co. (1924) 41 R.P.C. 160 .

Powell v. Birmingham Vinegar Brewery Co. Ltd. (1897) 14 R.P.C. 720 , H.L.(E.).

Samuelson v. Producers' Distributing Co. Ltd. [1932] 1 Ch. 201 , Luxmoore J. and C.A.

Society of Motor Manufacturers and Traders Ltd. v. Motor Manufacturers' and Traders' Mutual Insurance Co. Ltd. [1925] Ch. 675 , Lawrence J. and C.A.

Tallerman v. Dowsing Radiant Heat Co. [1900] 1 Ch. 1 , Stirling J. and C.A.

Appeal from the Court of Appeal.

This was an appeal from an order of the Court of Appeal (Buckley and Goff L.JJ. and Sir David Cairns) dated April 19, 1978, whereby the Court of Appeal ordered that the appeal by the now respondents (the defendants), J. Townend & Sons (Hull) Ltd. and H. Keeling & Co., from an order of Goulding J. made on July 29, 1977, should be allowed. Goulding J. had ordered that the respondents be restrained by themselves, their directors, partners, servants or agents from

'(1) advertising, offering for sale, selling or distributing any product under or bearing the name or description advocaat or any word so nearly resembling advocaat as to be likely to be confused therewith unless such product basically

consists of spirit and eggs and does not include wine and (2) representing that a mixture of wine and eggs is advocaat.'

***734** He also ordered (1) that there be an inquiry as to what damages the appellants (the plaintiffs), Erven Warnink Besloten Vennootschap and Victoria Wine Co. Ltd., had sustained by reason of the acts of the respondents the repetition whereof was restrained and (2) that the respondents should pay the appellants the costs of the action to be taxed if not agreed. The Court of Appeal ordered that the judge's order be discharged and that the appellants' action should stand dismissed and that they should pay the respondents their costs of the action and in the Court of Appeal.

The facts stated by Lord Diplock were as follows: The first plaintiff ('Warnink') was a manufacturer in Holland of an alcoholic drink known in England as well as in Holland as 'advocaat.' Its principal ingredients were eggs and spirits without any admixture of wine. The second plaintiffs were the distributors in England of advocaat manufactured by Warnink. Warnink's advocaat and advocaat made in Holland by a small number of other Dutch manufacturers had been marketed in England for many years prior to the events which gave rise to this action; but the lion's share of the market, some 75 per cent., was held by Warnink. In recent years as a result of heavy advertising, principally by Warnink which had become a subsidiary of Allied Breweries Ltd., advocaat had become a popular drink among a large class of people in England. In the words of Goulding J. [\[1978\] F.S.R. 1](#), 11:

'A substantial reputation and goodwill have, over half a century or more, been acquired by the name 'advocaat' as that of a drink with recognisable qualities of appearance, taste, strength, and satisfaction.'

The character of the drink by which the goodwill attaching to the name 'advocaat' had been earned was that of the spirit-based Dutch advocaat which had been imported into the United Kingdom over a long period and in large quantities; and the evidence accepted by the judge showed that notwithstanding minor differences between competing brands of advocaat it was a distinct and recognisable species of beverage.

There had also been another alcoholic egg drink on the English market known to the public as egg flip and sold under that name. Its principal ingredients were eggs and a fortified wine. Its alcoholic strength, about 14 per cent. by volume or 30ø proof, did not differ greatly from that of advocaat; but by one of the vagaries of British excise law, because the ingredient which provided the alcohol was classified as fortified wine and not as spirits, egg flip attracted excise duty in England at a rate of some 50 pence a bottle lower than that charged on advocaat. As was found by the judge [\[1978\] F.S.R. 1](#), 11: 'The public knows of egg flip as an alcoholic egg drink, sold as something different

from advocaat and at a lower price.' He also found at p. 12 that an expert could well distinguish a wine-based egg drink from advocaat and that a regular drinker of either type could do the same, but he said 'there is no such gross difference of taste, colour, or other qualities, as would lead the inexperienced or casual customer to regard them as different species of drink.'

The defendants ('Keeling') were an English company and a partnership firm who, acting in association, manufactured an egg flip and prior to 1974 sold it under that description on the English market. In that year, however, *735 as the judge found at p. 12 'they conceived a plan to profit from the popularity of advocaat.' They produced an alcoholic egg drink from a mixture of dried eggs and a Cyprus sherry. This they put on the market as 'Keeling's Old English Advocaat.' Attracting as it did the lower rate of excise duty appropriate to fortified wine in place of spirits, Keeling were able to undersell Warnink and other makers of the spirit-based egg drink of the composition that had acquired for the drink sold in England under the name advocaat the substantial reputation and goodwill which the judge found attached to it. 'Keeling's Old English Advocaat' captured an appreciable share of the English market for advocaat and, as the judge found at p. 13, damage had been thereby caused to Warnink and other traders in Dutch advocaat and 'such damage would not have occurred, or would have occurred to a much smaller extent, had the defendants not used the word 'advocaat' as part of the description of their goods.'

William Aldous Q.C. and *Simon Thorley* for the appellants. The basic contentions of the defendants are that there is no cause of action against them because the passing off action is limited to a plaintiff's right to prevent a defendant from passing off his goods or services as the plaintiff's. They contend that the cases dealing with champagne, sherry and Scotch whisky were wrongly decided because there was there no such substitution for the goods of the plaintiffs. In the present case an intermediate line was adopted by the Court of Appeal.

The name advocaat has acquired a substantial reputation in Britain and the plaintiffs use it as part of their business. The drink which the name indicates has recognisable qualities and is spirit based. The defendants by contrast have brought onto the market a wine based drink. The blending of the materials of advocaat by a particular process has produced a drink which has had a high reputation for many years as being of the finest quality. Such a reputation, having been built up, deserves protection and is protected by law. The fact that other persons using the same materials and the same process can come into the market and acquire a goodwill of their own does not prevent goodwill attaching to the product nor stop the name meriting protection. Advocaat is a word which attracts business.

In each case it is a question of fact whether the product has a reputation and the word is part of the goodwill, the attractive force bringing in business. One can prevent another person in the market from appropriating that goodwill by means of a different product. If it can be established as a fact that the name is part of the goodwill of the business and that someone else has appropriated the name for another product he is stealing something and the law will prevent it.

There is no property in the word 'champagne'; the property is in the goodwill of the business. In a passing off action it is this proprietary right which is being protected. For a trade name or description to be capable of founding a claim for relief against passing off there must be distinctiveness. The cause of action exists to protect property in the goodwill of the business to which it attaches because of the name; although the property is not in the name.

***736**

In *Spalding (A. G.) & Bros. v. A. W. Gamage Ltd. (1915) 84 L.J.Ch. 449*, 450, 452, Lord Parker laid down the basic principles of the passing off action which have been developed in *Reddaway v. Banham [1896] A.C. 199*, 209, 210-211, 215-216; *Samuelson v. Producers' Distributing Co. Ltd. [1932] 1 Ch. 201*, 207-208, 209, 210; *Powell v. Birmingham Vinegar Brewery Co. Ltd. (1897) 14 R.P.C. 720*, 725, 728, 729; *Society of Motor Manufacturers and Traders Ltd. v. Motor Manufacturers' and Traders' Mutual Insurance Co. Ltd. [1925] Ch. 675*, 685-686 and *Star Industrial Co. Ltd. v. Yap Kwee Kor [1976] F.S.R. 256*, 269.

In the present case the salient fact is that the defendants have been falsely representing their product as that of a producer of genuine advocaat. The plaintiffs can prevent them from making that false representation that their product is genuine advocaat made by a producer of genuine advocaat of which the plaintiffs are the largest producers in this country.

Their situation is like that of the producers of champagne in *J. Bollinger v. Costa Brava Wine Co. Ltd. [1960] Ch. 262*, 267-268, 272, 276-277, 278-279, and *J. Bollinger v. Costa Brava Wine Co. Ltd. (No. 2) [1961] 1 W.L.R. 286*, 289, 291, which were followed in the sherry case of *Vine Products Ltd. v. Mackenzie & Co. Ltd. [1969] R.P.C. 1*, 6 et seq., and the Scotch whisky case, *John Walker & Sons Ltd. v. Henry Ost & Co. Ltd. [1970] 1 W.L.R. 917*, 920, 925, 928-929, 930. Between these cases and the present case there is no logical difference.

The debasement of a word is detrimental to traders in the goods to which it is attached. If the mixture which was challenged in the Scotch whisky case could have been sold as 'Scotch Whisky' the meaning of those words would have been debased. In the champagne cases the ratio decidendi was that: (a) a member of a class may sue in passing off to protect goodwill which is not exclusive to him; (b) in such an action the actionable wrong is for another person falsely to appropriate that good will, and where the goodwill is attached to particular goods it is actionable for a person to represent falsely that his goods are the genuine goods of a producer of genuine goods. In the sherry and the Scotch whisky cases the same ratio was applied. It does not require that the goodwill to be protected is limited to that of people in a particular geographical area. In *Scott v. Tuff-Kote (Australia) Pty. Ltd. [1975] N.S.W.L.R. 537*, 541 and *Shaw Brothers (Hong Kong) Ltd. v. Golden Harvest (H.K.) Ltd. [1972] R.P.C. 559*, 561-562 those cases were approved.

Since a false representation is the basis of a passing off action, that cause of action extends to the case of sales by A of B's goods of one quality for B's goods of another quality. In a wide variety of cases it has been used to prevent unfair trading. The scope of the action was considered in *H. P. Bulmer Ltd. and Showerings Ltd. v. J. Bollinger S.A. [1978] R.P.C. 79*, 93, 96, 98-100, 113, 117, 118, 119, though on its facts that case is not relevant here because no confusion was established.

The important finding in the champagne cases was that the people who were going to be deceived were those who did not know that the drink came from France. In such cases as these the crucial question is what the word denotes or signifies.

To understand *Native Guano Co. v. Sewage Manure Co.* (1897) 4 R.P.C. 473; (1889) 8 R.P.C. 125 it must be seen against the patent and trade mark law of that date - the Patents, Designs, and Trade Marks Act 1883 and *Linoleum Manufacturing Co. v. Nairn* (1878) 7 Ch.D. 834. In that light it is not relevant to the present problem. It was not a passing off case, being solely concerned with copyright infringement and a registered trade mark. In effect the plaintiffs were trying to prolong their patent rights by the device of restraining other traders from using the term by which the product in question was known. At that time the courts would not enforce trade mark rights in respect of products made under a patent: see the judgments: 4 R.P.C. 473, 476; 8 R.P.C. 125, 127, 129-130, 131-132 and the opinions in the House of Lords at p. 135. The contentions of the present appellants are not contradicted by anything said in that case, which was only an attempt to secure exclusive rights to the expression 'Native Guano.' The pleadings did not raise the present point which was not argued. Should that case nevertheless be held to be relevant, the observations made in it appear to be obiter. In any event, the decision no longer represents the law.

The passing off action provides a remedy for unfair trading: *Spalding*, 84 L.J.Ch. 449; *Harrods Ltd. v. R. Harrod Ltd.* (1923) 41 R.P.C. 74 and *Masson Seeley & Co. Ltd. v. Embosotype Manufacturing Co.* (1924) 41 R.P.C. 160.

John Griffiths Q.C. and *John Hamilton* for the respondents. The issue is rather one of social policy than of law, viz., whether the court should protect the manufacturer or the general public which is benefited by competition promoting consumer progress. The contentions of the appellants produce ossification. Thus ice cream was originally made from cream but under the impact of social and manufacturing changes, it is now made from vegetable fats, a thing which on the arguments for the appellants could not have happened.

It is submitted: (1) the elements of the tort of passing off were and remain (a) a representation by the defendant that his goods and services are those of the plaintiff, (b) whereby confusion is likely to be created for the public and (c) actual or apprehended damage to the plaintiff. There is no remedy unless all three elements are present. (2) There is no action to protect either a generic name or a method of manufacture per se. (3) Where descriptive words are used of the goods no tort is committed unless the use of them in the circumstances carries the innuendo that the defendant's goods are those of the plaintiff. (4) The plaintiff's right which is invaded by the defendant's misrepresentation is his property in the goodwill likely to be harmed by the misrepresentation that the defendant's goods are his. (5) The proper machinery to protect the good name of a product itself or a class of products is the law relating to merchandise marks, the Food and Drugs Acts and the Trade Descriptions Acts. Where these do not give a civil remedy, the protection of the good name of the product lies in a criminal prosecution or in the Attorney-General acting on behalf of the public in civil proceedings for an injunction. (6) The champagne cases and their successors

were wrongly decided. (7) If the previous submissions are not accepted, the categories of products entitled to protection can only be those of a geographical district definable with *738 reasonable precision and manufactured by an identical process. (8) If that submission is not accepted, the categories should only be extended to cover goods manufactured of identical materials and should not be extended to variable recipes. (9) There is no simple tort of unfair trading.

A trader may lawfully sell a product similar in form to that of a rival trader, referring to that trader's product by name, so long as he does so in such a way as to avoid confusion: *Singer Manufacturing Co. v. Loog* (1882) 8 App.Cas. 15, 22, 26-27, 29-30, 36, 37-38, 38-39. As to genuine words, see *Havana Cigar and Tobacco Factories Ltd. v. Oddenino* [1924] 1 Ch. 179, 190-191, 194-195, 196, 201.

The champagne cases were wrongly decided. Relevant authorities were not considered in their decision: *American Washboard Co. v. Saginaw Manufacturing Co.* (1900) 103 Fed. R. 281, 284-286; *Pillsbury-Washburn Flour Mills Co. v. Eagle* (1898) 86 Fed.R. 603 and the *Native Guano case*, 4 R.P.C. 473; 8 R.P.C. 125, 128, 131, 132, 135. Since that case the law in the relevant regard has not developed. It is a binding authority for the proposition that when A accurately uses to describe his goods a name purely descriptive of goods of that kind, he does not have a cause of action against B who misuses that name to describe his goods inaccurately even though he misleads the public in a way injurious to A.

The recipe for advocaat is variable and there are widely different products. Brandy is not a characteristic and it can be made with any spirit. Some people buy it without any view as to the ingredients save that it includes alcohol.

Reddaway v. Banham [1896] A.C. 199, 210 lays down the fundamental rule. In *Spalding*, 84 L.J.Ch. 449, 450, Lord Parker in referring to A's goods and B's goods is concerned with the trader's name on the trader's goods. The passing-off action protects the proprietary right, the property being that which is likely to be injured by the misrepresentation. It is not every false representation which gives a right of action in passing off: *Bulmer's case* [1978] R.P.C. 79, 99. See also the argument submitted in the *Spalding case*, 32 R.P.C. 273, 282.

The present point arose directly in *Tallerman v. Dowsing Radiant Heat Co.* [1900] 1 Ch. 1, 8-9; *Cambridge University Press v. University Tutorial Press* (1928) 45 R.P.C. 335, 344-345 and *Drive Yourself Hire Co. (London) Ltd. v. A. G. Parish (trading as 'Self Drive Cars')* [1957] R.P.C. 307, 310.

In any event the champagne cases ought not to be extended beyond the test of the geographical area: see *Fleming's Law of Torts*, 4th ed. (1971), p. 630

The word 'advocaat' is very loosely defined. It is made differently in Holland, in Belgium and in Germany. The court must put itself into the position of the man who wants to compete in this market. In the case of champagne he would know what to do. So also with sherry because the

common factor in 'Dry Fly' and 'Bristol Cream' is that the grapes must come from Jerez. But the term 'advocaat' is as loose as 'brown bread' and the law should not be widened to protect such imprecise recipes. It would be as if all the manufacturers of tomato chutney were to unite to say that other manufacturers could only make it if they did not include mangoes because hitherto mangoes had not *739 been used in chutney. It is analogous to the contention that advocaat has never before been made with wine.

Protection should not be given to such a class of manufacturer since it could result in protecting goodwill in the hands of an individual who had done nothing to build it up.

The passing off of A's goods for B's goods is the classical basis of the passing-off action. It should be adhered to and the doors ought not to be opened to the champagne case class of action.

Their Lordships did not require a reply on behalf of the appellants. Their Lordships took time for consideration. June 21. LORD DIPLOCK

My Lords, this is an action for 'passing off,' not in its classic form of a trader representing his own goods as the goods of somebody else, but in an extended form first recognised and applied by Danckwerts J. in the champagne case (*J. Bollinger v. Costa Brava Wine Co. Ltd.* [1960] Ch. 262). The ratio decidendi of that case was subsequently adopted as correct by Cross J. in the sherry case (*Vine Products Ltd. v. Mackenzie & Co. Ltd.* [1969] R.P.C. 1) and by Foster J. in the Scotch whisky case (*John Walker & Sons Ltd. v. Henry Ost & Co. Ltd* [1970] 1 W.L.R. 917).

The facts of the instant case as found by Goulding J. after a protracted trial make it, in my view, impossible to draw a rational distinction between the instant case and the champagne case which could reconcile acceptance of the reasoning in the champagne case with dismissal of the plaintiffs' action in the instant case. This was also the view of Goulding J.; but his judgment in the plaintiffs' favour was reversed by the Court of Appeal (Buckley and Goff L.JJ. and Sir David Cairns) who, while expressing approval of the champagne and sherry cases, though with reservations on the Scotch whisky case, nevertheless felt able to discern a relevant distinction between those cases and the instant case. Not quite the same distinction was drawn by Buckley L.J. and Goff L.J. but, with respect, I think that both were mistaken; and if this be so, the question of law for your Lordships is whether this House should give the seal of its approval to the extended concept of the cause of action for passing off that was applied in the champagne, sherry and Scotch whisky cases. This question is essentially one of legal policy. [His Lordship stated the facts and continued:]

True it is that it could not be shown that any purchaser of 'Keeling's Old English Advocaat' supposed or would be likely to suppose it to be goods supplied by Warnink or to be Dutch advocaat of any make. So Warnink had no cause of action for passing off in its classic form. Nevertheless, the learned judge was satisfied: (1) that the name 'advocaat' was understood by the public in England to denote a distinct and recognisable species of beverage; (2) that Warnink's product is genuinely indicated by that name and has gained reputation and goodwill under it; (3) that Keeling's product has no natural association with the word 'advocaat'; it is an egg and wine drink properly described

as an 'egg flip,' whereas advocaat is an egg and spirit drink; these are different beverages and known as different to the public; (4) that members of the ^{*740} public believe and have been deliberately induced by Keeling to believe that in buying their 'Old English Advocaat' they are in fact buying advocaat; (5) that Keeling's deception of the public has caused and, unless prevented, will continue to cause, damage to Warnink in the trade and the goodwill of their business both directly in the loss of sale and indirectly in the debasement of the reputation attaching to the name 'advocaat' if it is permitted to be used of alcoholic egg drinks generally and not confined to those that are spirit based.

These findings, he considered, brought the case within the principle of law laid down in the champagne case by Danckwerts J. and applied in the sherry and Scotch whisky cases. He granted Warnink an injunction restraining Keeling from selling or distributing under the name or description 'advocaat' any product which does not basically consist of eggs and spirit without any admixture of wine.

My Lords, these findings of fact were accepted by the Court of Appeal and have not been challenged in your Lordships' House. They seem to me to disclose a case of unfair, not to say dishonest, trading of a kind for which a rational system of law ought to provide a remedy to other traders whose business or goodwill is injured by it.

Unfair trading as a wrong actionable at the suit of other traders who thereby suffer loss of business or goodwill may take a variety of forms, to some of which separate labels have become attached in English law. Conspiracy to injure a person in his trade or business is one, slander of goods another, but most protean is that which is generally and nowadays, perhaps misleadingly, described as 'passing off.' The forms that unfair trading takes will alter with the ways in which trade is carried on and business reputation and goodwill acquired. Emerson's maker of the better mousetrap if secluded in his house built in the woods would today be unlikely to find a path beaten to his door in the absence of a costly advertising campaign to acquaint the public with the excellence of his wares.

The action for what has become known as 'passing off' arose in the 19th century out of the use in connection with his own goods by one trader of the trade name or trade mark of a rival trader so as to induce in potential purchasers the belief that his goods were those of the rival trader. Although the cases up to the end of the century had been confined to the deceptive use of trade names, marks, letters or other indicia, the principle had been stated by Lord Langdale M.R. as early as 1842 as being: 'A man is not to sell his own goods under the pretence that they are the goods of another man;...': *Perry v. Truefitt* (1842) 6 Beav. 66, 73. At the close of the century in *Reddaway v. Banham* [1896] A.C. 199, it was said by Lord Herschell that what was protected by an action for passing off was not the proprietary right of the trader in the mark, name or get-up improperly used. Thus the door was opened to passing off actions in which the misrepresentation took some other form than the deceptive use of trade names, marks, letters or other indicia; but as none of their Lordships committed themselves to identifying the legal nature of the right that was protected by

a passing off action it remained an action sui generis which lay for damage sustained or threatened in consequence of a misrepresentation of a particular kind.

Reddaway v. Banham, like all previous passing off cases, was one in *741 which Banham had passed off his goods as those of Reddaway, and the damage resulting from the misrepresentation took the form of the diversion of potential customers from Reddaway to Banham. Although it was a landmark case in deciding that the use by a trader of a term which accurately described the composition of his own goods might nevertheless amount to the tort of passing off if that term were understood in the market in which the goods were sold to denote the goods of a rival trader, *Reddaway v. Banham* did not extend the nature of the particular kind of misrepresentation which gives rise to a right of action in passing off beyond what I have called the classic form of misrepresenting one's own goods as the goods of someone else nor did it provide any rational basis for an extension.

This was left to be provided by Lord Parker in *A. G. Spalding & Bros. v. A. W. Gamage Ltd. (1915) 84 L.J.Ch. 449*, 450. In a speech which received the approval of the other members of this House, he identified the right the invasion of which is the subject of passing off actions as being the 'property in the business or goodwill likely to be injured by the misrepresentation.' The concept of goodwill is in law a broad one which is perhaps best expressed in words used by Lord Macnaghten in *Inland Revenue Commissioners v. Muller & Co.'s Margarine Ltd. [1901] A.C. 217*, 223-224: 'It is the benefit and advantage of the good name, reputation, and connection of a business. It is the attractive force which brings in custom.'

The goodwill of a manufacturer's business may well be injured by someone else who sells goods which are correctly described as being made by that manufacturer but being of an inferior class or quality are misrepresented as goods of his manufacture of a superior class or quality. This type of misrepresentation was held in *A. G. Spalding & Bros. v. A. W. Gamage Ltd., 84 L.J.Ch. 449* to be actionable and the extension to the nature of the misrepresentation which gives rise to a right of action in passing off which this involved was regarded by Lord Parker as a natural corollary of recognising that what the law protects by a passing off action is a trader's property in his business or goodwill.

The significance of this decision in the law of passing off lies in its recognition that misrepresenting one's own goods as the goods of someone else was not a separate genus of actionable wrong but a particular species of wrong included in a wider genus of which a premonitory hint had been given by Lord Herschell in *Reddaway v. Banham [1896] A.C. 199*, 211 when, in speaking of the deceptive use of a descriptive term, he said:

'I am unable to see why a man should be allowed in this way more than in any other to deceive purchasers into the belief that they are getting what they are not, and thus to filch the business of a rival.'

I quote this passage, in which I have supplied the emphasis, because it was Lord Herschell who gave the leading speech in an earlier decision of this House in *Native Guano Co. v. Sewage Manure Co.* (1889) 8 R.P.C. 125, 129 that was principally relied on by the Court of Appeal as justifying their reversal of the judgment of Gouling J. in the instant case.

Spalding's case, 84 L.J.Ch. 449 led the way to recognition by judges of other species of the same genus, as where although the plaintiff and *742 the defendant were not competing traders in the same line of business, a false suggestion by the defendant that their businesses were connected with one another would damage the reputation and thus the goodwill of the plaintiff's business. There are several cases of this kind reported of which *Harrods Ltd. v. R. Harrod Ltd.* (1923) 41 R.P.C. 74, the moneylender case, may serve as an example.

Lord Parker's explanation of the nature of the proprietary right protected by a passing off action also supplied a new and rational basis for the two 19th century decisions of Page Wood V.-C. in *Dent v. Turpin* (1861) 2 Johns. & H. 139, and *Southorn v. Reynolds* (1865) 12 L.T. 75, in which one of two traders, each of whom had by inheritance acquired goodwill in the use of a particular trade name, was held entitled, without joining the other, to obtain an injunction restraining a third trader from making use of the name, despite the fact that the plaintiff's right of user was not exclusive. The goodwill of his business would be damaged by the misrepresentation that the defendant's goods were the goods of a limited class of traders entitled to make use of it, of whom the plaintiff was one and the defendant was not.

My Lords, *A. G. Spalding & Bros. v. A. W. Gamage Ltd.*, 84 L.J.Ch. 449 and the later cases make it possible to identify five characteristics which must be present in order to create a valid cause of action for passing off: (1) a misrepresentation (2) made by a trader in the course of trade, (3) to prospective customers of his or ultimate consumers of goods or services supplied by him, (4) which is calculated to injure the business or goodwill of another trader (in the sense that this is a reasonably foreseeable consequence) and (5) which causes actual damage to a business or goodwill of the trader by whom the action is brought or (in a quia timet action) will probably do so.

In seeking to formulate general propositions of English law, however, one must be particularly careful to beware of the logical fallacy of the undistributed middle. It does not follow that because all passing off actions can be shown to present these characteristics, all factual situations which present these characteristics give rise to a cause of action for passing off. True it is that their presence indicates what a moral code would censure as dishonest trading, based as it is upon deception of customers and consumers of a trader's wares but in an economic system which has relied on competition to keep down prices and to improve products there may be practical reasons why it should have been the policy of the common law not to run the risk of hampering competition by providing civil remedies to every one competing in the market who has suffered damage to his business or goodwill in consequence of inaccurate statements of whatever kind that may be made

by rival traders about their own wares. The market in which the action for passing off originated was no place for the mealy mouthed; advertisements are not on affidavit; exaggerated claims by a trader about the quality of his wares, assertions that they are better than those of his rivals even though he knows this to be untrue, have been permitted by the common law as venial 'puffing' which gives no cause of action to a competitor even though he can show that he has suffered actual damage in his business as a result.

Parliament, however, beginning in the 19th century has progressively ***743** intervened in the interests of consumers to impose on traders a higher standard of commercial candour than the legal maxim caveat emptor calls for, by prohibiting under penal sanctions misleading descriptions of the character or quality of goods; but since the class of persons for whose protection the Merchandise Marks Acts 1887 to 1953 and even more rigorous later statutes are designed, are not competing traders but those consumers who are likely to be deceived, the Acts do not themselves give rise to any civil action for breach of statutory duty on the part of a competing trader even though he sustains actual damage as a result: *Cutler v. Wandsworth Stadium Ltd.* [1949] A.C. 398 and see *London Armoury Co. Ltd. v. Ever Ready Co. (Great Britain) Ltd.* [1941] 1 K.B. 742 . Nevertheless the increasing recognition by Parliament of the need for more rigorous standards of commercial honesty is a factor which should not be overlooked by a judge confronted by the choice whether or not to extend by analogy to circumstances in which it has not previously been applied a principle which has been applied in previous cases where the circumstances although different had some features in common with those of the case which he has to decide. Where over a period of years there can be discerned a steady trend in legislation which reflects the view of successive Parliaments as to what the public interest demands in a particular field of law, development of the common law in that part of the same field which has been left to it ought to proceed upon a parallel rather than a diverging course.

The champagne case came before Danckwerts J. in two stages: the first, *J. Bollinger v. Costa Brava Wine Co. Ltd.* [1960] Ch. 262 on a preliminary point of law, the second, *J. Bollinger v. Costa Brava Wine Co. Ltd. (No. 2)* [1961] 1 W.L.R. 277 on the trial of the action. The assumptions of fact on which the legal argument at the first stage was based were stated by the judge to be [1960] Ch. 262 , 273:

'... (1) The plaintiffs carry on business in a geographical area in France known as Champagne; (2) the plaintiffs' wine is produced in Champagne and from grapes grown in Champagne; (3) the plaintiffs' wine has been known in the trade for a long time as 'champagne' with a high reputation; (4) members of the public or in the trade ordering or seeing wine advertised as 'champagne' would expect to get wine produced in Champagne from grapes grown there; and (5) the defendants are producing a wine not produced in that geographical area and are selling it under the name of 'Spanish champagne.'

These findings disclose a factual situation (assuming that damage was thereby caused to the plaintiff's business) which contains each of the five characteristics which I have suggested must be present in order to create a valid cause of action for passing off. The features that distinguished it from all previous cases were (a) that the element in the goodwill of each of the individual plaintiffs that was represented by his ability to use without deception (in addition to his individual house mark) the word 'champagne' to distinguish his wines from sparkling wines not made by the champenois process from grapes produced in the Champagne district of France, was not exclusive to himself but was shared with every other shipper of sparkling wine to England whose wines could satisfy the same condition *744 and (b) that the class of traders entitled to a proprietary right in 'the attractive force that brings in custom' represented by the ability without deception to call one's wines 'champagne' was capable of continuing expansion, since it might be joined by any future shipper of wine who was able to satisfy that condition.

My Lords, in the champagne case the class of traders between whom the goodwill attaching to the ability to use the word 'champagne' as descriptive of their wines was a large one, 150 at least and probably considerably more, whereas in the previous English cases of shared goodwill the number of traders between whom the goodwill protected by a passing off action was shared had been two, although in the United States in 1898 there had been a case, *Pillsbury-Washburn Flour Mills Co. v. Eagle* (1898) 86 Fed. R. 608, in which the successful complainants to the number of seven established their several proprietary rights in the goodwill attaching to the use of a particular geographical description to distinguish their wares from those of other manufacturers.

It seems to me, however, as it seemed to Danckwerts J., that the principle must be the same whether the class of which each member is severally entitled to the goodwill which attaches to a particular term as descriptive of his goods, is large or small. The larger it is the broader must be the range and quality of products to which the descriptive term used by the members of the class has been applied, and the more difficult it must be to show that the term has acquired a public reputation and goodwill as denoting a product endowed with recognisable qualities which distinguish it from others of inferior reputation that compete with it in the same market. The larger the class the more difficult it must also be for an individual member of it to show that the goodwill of his own business has sustained more than minimal damage as a result of deceptive use by another trader of the widely-shared descriptive term. As respects subsequent additions to the class, mere entry into the market would not give any right of action for passing off; the new entrant must have himself used the descriptive term long enough on the market in connection with his own goods and have traded successfully enough to have built up a goodwill for his business.

For these reasons the familiar argument that to extend the ambit of an actionable wrong beyond that to which effect has demonstrably been given in the previous cases would open the floodgates or, more ominously, a Pandora's box of litigation leaves me unmoved when it is sought to be applied to the actionable wrong of passing off.

I would hold the champagne case [\[1960\] Ch. 262](#) to have been rightly decided and in doing so would adopt the words of Danckwerts J. where he said, at pp. 283-284:

'There seems to be no reason why such licence [sc. to do a deliberate act which causes damage to the property of another person] should be given to a person, competing in trade, who seeks to attach to his product a name or description with which it has no natural association so as to make use of the reputation and goodwill which has been gained by a product genuinely indicated by the name or description. In my view, it ought not to matter that the persons truly entitled to describe their goods by the name and description are a class *745 producing goods in a certain locality, and not merely one individual. The description is part of their goodwill and a right of property. I do not believe that the law of passing off, which arose to prevent unfair trading, is so limited in scope.'

In the champagne case the descriptive term referred to the geographical provenance of the goods, and the class entitled to the goodwill in the term was accordingly restricted to those supplying on the English market goods produced in the locality indicated by it. Something similar was true in the sherry case ([Vine Products Ltd. v. Mackenzie & Co. Ltd. \[1969\] R.P.C. 1](#).) where the word 'sherry' as descriptive of a type of wine unless it was accompanied by some qualifying geographical adjective was held to denote wine produced by the solera method in the province of Jerez de la Frontera in Spain and the class entitled to the goodwill in the word was restricted to suppliers on the English market of wine produced in that province. In the Scotch whisky case ([John Walker & Sons Ltd. v. Henry Ost & Co. Ltd. \[1970\] 1 W.L.R. 917](#)) the product with which the case was primarily concerned was blended whisky and the class entitled to the goodwill in the descriptive term 'Scotch whisky' was not restricted to traders who dealt in whisky that had been blended in Scotland but extended to suppliers of blended whisky wherever the blending process took place provided that the ingredients of their product consisted exclusively of whiskies that had been distilled in Scotland. But the fact that in each of these first three cases the descriptive name under which goods of a particular type or composition were marketed by the plaintiffs among others happened to have geographical connotations is in my view without significance. If a product of a particular character or composition has been marketed under a descriptive name and under that name has gained a public reputation which distinguishes it from competing products of different composition, I can see no reason in principle or logic why the goodwill in the name of those entitled to make use of it should be protected by the law against deceptive use of the name by competitors, if it denotes a product of which the ingredients come from a particular locality, but should lose that protection if the ingredients of the product, however narrowly identified, are not restricted as to their geographical provenance. Yet in view of the findings of fact by Goulding J. to which I

have already referred, this is the only way in which the instant case can be distinguished from the champagne, sherry and Scotch whisky cases.

This brings me to *Native Guano Co. v. Sewage Manure Co.*, 8 R.P.C. 125 upon which the Court of Appeal principally relied as entitling, if not compelling, them to draw this distinction. The *Native Guano* case is a decision of this House reached in 1889. Despite their researches counsel have been unable to discover any reported instance of its ever having previously been cited until it was rescued from well-deserved oblivion for citation in the instant case. It is a thoroughly unsatisfactory case which got into a muddle at first instance before Kay J. (1887) 4 R.P.C. 473 and it is very difficult to discover precisely what, if anything, it did decide. What was said in the course of the judgments at first instance and in the Court of Appeal as well as in the speech of Lord Herschell in this House must be read in their historical context: first, that the proprietary interest ^{*746} protected by a passing off action had not yet been identified as the goodwill of the plaintiff's business rather than his property in the distinctive name under which his goods had acquired a reputation with the public - the so-called 'common law' trademark; and, secondly, that the passing off actions that had hitherto come before the courts had all assumed what I have called the classic form.

The plaintiffs, the Native Guano Co., had patented a process for manufacturing from human excreta a fertiliser which they called Native Guano and sold under that name both during the currency of the patent and after it had expired. After the expiry of the patent the defendants started to market under the description 'Native Guano' a fertiliser made by them from human excreta but apparently by a process that had not been the subject matter of the plaintiffs' patent. The principal relief claimed by the plaintiffs was an injunction restraining the defendants from using the name 'Native Guano' to describe their product. This claim failed upon the ground, already well-established by authority, that after a patent had expired the patentee could not prolong the benefit of the temporary monopoly it had assured him by claiming that the goodwill in the name under which the product had become known to the public while the patent was in force, belonged to him. When, however, in the course of the hearing before Kay J. that judge intimated his opinion that the main ground failed, counsel for the plaintiffs appears to have sought to argue, as an alternative ground on which he might succeed, that it was a fraud upon the public to sell as Native Guano a fertiliser that had been manufactured from human excreta by a different process from that which had been the subject matter of the plaintiffs' patent. It does not appear that the statement of claim contained any allegation that the defendants' product differed in character or quality from Native Guano made by the patented process or that its sale upon the market under that name had debased the reputation with the public of Native Guano as a distinctive type of fertiliser. So the foundation for a champagne case type of passing off action was never laid. It is not therefore surprising to find in those parts of the judgments of Kay J. and of Cotton and Lindley L.JJ. in the Court of Appeal which deal with this subsidiary way in which the plaintiffs' claim was put, passages which suggest that an action for passing off lay only in its classic form of misrepresenting one's own goods as the goods of someone else. That reflected current judicial opinion at that time and those passages can be paralleled in contemporaneous and later cases until the decision of this House in *Spalding v. A. W. Gamage Ltd.*, 84 L.J. Ch. 449 recognised a more extended scope of the cause of action.

Nevertheless it is interesting to note that in the *Native Guano* case itself when it reached this House (8 R.P.C. 125), Lord Herschell appears to me to have deliberately left open the question whether there would have been a cause of action if the two missing allegations to which I have referred had been made and been made good. In the brief passage in his speech in which he dealt with the matter, he said, at p. 135:

'... the statement of claim contains no allegation, even if it would have availed the plaintiffs that the defendants sold an article which was inferior or which was not a manure at all, or anything of that *747 kind. It seems to me, therefore, to make no difference that the manure, which they sold under the name of 'Native Guano,' was not made in precisely the same way as that which the plaintiffs had before made under that name.'

I have dealt with the *Native Guano* case at, perhaps, greater length than it deserves because of the reliance placed upon it by both Buckley L.J. and Goff L.J. but the passages that they cite from the judgments of Kay J. and Cotton L.J. if accepted as correct statements of the law of passing off as it stands today would lead to the conclusion that the champagne case and those which followed it were wrongly decided. Both Lords Justices, however, expressed their approval of the champagne case; they nevertheless felt able to distinguish it upon the ground, as I understand the judgments, that the word 'advocaat' was merely descriptive of a type of alcoholic drink whereas 'champagne' was distinctive of a drink that could only be made by a particular class of producers.

My Lords, the class of producers who could make 'champagne' and whose right to use that word to describe their product on the English market formed a valuable part of their goodwill was a large one, much larger than the class with which the instant case is concerned, for it embraced everyone who engaged in the business of producing in the Champagne district, which is extensive, wines by the champenois method from grapes grown in the district and the class was capable of enlargement by the inclusion of anyone who chose to set up a new wine-producing business of that kind there. It is true that the whole process for making the finished product would have to be undertaken in the Champagne district; but this as I have already pointed out was not so in the sherry case where bottling of the wine produced from grapes grown in the province of Jerez de la Frontera and blended by the solera method there need not take place in Spain; nor was it so in the Scotch whisky case where even the blending of malt and grain whiskies provided they were distilled in Scotland need not take place in that country.

Of course it is necessary to be able to identify with reasonable precision the members of the class of traders of whose products a particular word or name has become so distinctive as to make their right to use it truthfully as descriptive of their product a valuable part of the goodwill of each of them; but it is the reputation that that type of product itself has gained in the market by reason

of its recognisable and distinctive qualities that has generated the relevant goodwill. So if one can define with reasonable precision the type of product that has acquired the reputation, one can identify the members of the class entitled to share in the goodwill as being all those traders who have supplied and still supply to the English market a product which possesses those recognisable and distinctive qualities.

It cannot make any difference in principle whether the recognisable and distinctive qualities by which the reputation of the type of product has been gained are the result of its having been made in, or from ingredients produced in, a particular locality or are the result of its having been made from particular ingredients regardless of their provenance; though a geographical limitation may make it easier (a) to define the type of product; *748 (b) to establish that it has qualities which are recognisable and distinguish it from every other type of product that competes with it in the market and which have gained for it in that market a reputation and goodwill; and (c) to establish that the plaintiff's own business will suffer more than minimal damage to its goodwill by the defendant's misrepresenting his product as being of that type.

In the instant case it is true that all but a very small portion of the alcoholic egg drink which gained for the name 'advocaat' a reputation and goodwill upon the English market, was imported from the Netherlands where, in order to bear that name, the ingredients from which it was made had to conform to the requirements of official regulations applicable to it in that country; but that is merely coincidental, for it is not suggested that an egg and spirit drink made in broad conformity with the Dutch official recipe for 'advocaat,' wherever it is made or its ingredients produced, is not endowed with the same recognisable and distinctive qualities as have gained for 'advocaat' its reputation and goodwill in the English market.

So, on the findings of fact by Goulding J. to which I referred at the beginning of this speech, the type of product that has gained for the name 'advocaat' on the English market the reputation and goodwill of which Keelings are seeking to take advantage by misrepresenting that their own product is of that type, is defined by reference to the nature of its ingredients irrespective of their origin. The class of traders of whose respective businesses the right to describe their products as advocaat forms a valuable part of their goodwill are those who have supplied and are supplying on the English market an egg and spirit drink in broad conformity with an identifiable recipe. The members of that class are easily identified and very much fewer in number than in the champagne, sherry or Scotch whisky cases. Warnink with 75 per cent. of the trade have a very substantial stake in the goodwill of the name 'advocaat' and their business has been showed to have suffered serious injury as a result of Keelings putting on the English market in competition with Warnink and at a cheaper price an egg and wine based drink which they miscall 'advocaat' instead of egg flip which is its proper name.

My Lords, all the five characteristics that I have earlier suggested must be present to create a valid cause of action in passing off today were present in the instant case. Prima facie as the law stands today, I think the presence of those characteristics is enough, unless there is also present in the case some exceptional feature which justifies, on grounds of public policy, withholding from a person

who has suffered injury in consequence of the deception practised on prospective customers or consumers of his product a remedy in law against the deceiver. On the facts found by the judge, and I stress their importance, I can find no such exceptional feature in the instant case.

I would allow this appeal and restore the injunction granted by Goulding J,

VISCOUNT DILHORNE.

My Lords, I have had the advantage of reading in draft the speeches of my noble and learned friends, Lord Diplock and *749 Lord Fraser of Tullybelton. I agree with them and there is nothing that I can usefully add. In my opinion this appeal should be allowed.

LORD SALMON.

My Lords, I have had the opportunity of reading in draft the speeches prepared by my noble and learned friends, Lord Diplock and Lord Fraser of Tullybelton. I agree with them, and for the reasons which they give I too would allow the appeal.

LORD FRASER OF TULLYBELTON.

My Lords, the appellants are the plaintiffs in this action. The first appellants manufacture in the Netherlands the alcoholic beverage called advocaat and import it into England where they sell it through the second appellants. Both appellants are now members of the Allied Breweries Group, and for the purposes of this appeal they can be regarded as one company. In this action they ask for an injunction against the respondents, the defendants, from selling or offering for sale any product under the name of 'advocaat' unless it basically consists of spirit and eggs, and does not include wine, and further, from representing that a mixture of wine and eggs is advocaat. Goulding J. granted the injunction sought by the appellants. In doing so he proceeded expressly in reliance upon the decision in *J. Bollinger v. Costa Brava Wine Co.* [1960] Ch. 262 ('the champagne case'). The Court of Appeal reversed his decision and dismissed the action, holding that it fell to be distinguished from the champagne case. The questions for this House now are (1) whether this case is distinguishable from the champagne case and (2) if not, whether the champagne case itself was rightly decided.

The appellants have imported advocaat from the Netherlands into England and sold it in England for many years - certainly since before 1914 - and for about 12 years immediately before the beginning of this action they had sold 75 per cent. or more of the advocaat marketed in the United Kingdom (and presumably about the same proportion of that marketed in England) but they do not have a monopoly in the name 'advocaat' in England, and several other Dutch manufacturers have for years sold their own brands of advocaat with minor differences of flavour between them.

Virtually all the advocaat sold in England is, and always has been, imported from the Netherlands. The learned judge mentioned some exceptions to that general statement, but the quantity of advocaat not of Dutch origin sold in England has been so small that it can be disregarded. The composition of Dutch advocaat (and therefore, in effect, of all the advocaat sold in England) is regulated by Dutch law and consists of hens' eggs, sugar flavouring and spirit. The spirit used is called in Dutch 'brandewijn.' Brandewijn is ethyl alcohol derived from grain or molasses. It is not the same as brandy which, at least in modern English usage, means a spirit derived from grapes. Many people in England mistakenly believe that advocaat contains brandy, probably because the appellants used to advertise their product as made of eggs and brandy. At the trial the respondents, founding on this misrepresentation by the appellants, argued that the appellants were not entitled to an injunction because they did not come before the court with clean hands, but the argument did not succeed before the learned judge or in the Court of Appeal. It was not repeated in this House.

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There is another alcoholic egg drink known to the public in England, called egg flip. It is based on eggs and wine and is cheaper than advocaat. In or about 1974 the respondents began to make a beverage based on dried eggs and fortified Cyprus sherry and to sell it as 'Old English Advocaat.' The respondents, who apparently manufacture their product in England, import the Cyprus sherry and only have to pay the customs duty appropriate to fortified wines, which is substantially lower than that on spirits, which the appellants have to pay. The result is that the respondents are able to sell their product about 50p per bottle cheaper than the appellants can sell theirs.

Among the conclusions drawn by the learned judge from the primary facts were the following.

'A substantial reputation and goodwill have, over half a century or more, been acquired by the name 'advocaat' as that of a drink with recognisable qualities of appearance, taste, strength, and satisfaction.' *[1978] F.S.R. 1*, 11.

and at p. 21:

'As I have already found, a substantial reputation and goodwill attach to the name as that of a drink of a particular character. Such character is beyond question that of the Dutch advocaat imported into the United Kingdom over a long period and in large quantity. The evidence shows that notwithstanding minor differences between competing brands, it was a distinct and recognisable species of beverage.... The Dutch advocaat to which the word owes its reputation in the United Kingdom has been a flavoured mixture of eggs, brandewijn and sugar. There is no doubt about that, even though the public in the United Kingdom has been misled or ignorant as to the

composition of the drink. Accordingly I reject the contention that the word has no definite established meaning.' (My italics)

The appellants maintain that the respondents' product is not advocaat because it is not based on spirit but on wine (although it may also contain some brandy used to fortify the wine). The appellants say, and the judge held - [\[1978\] F.S.R. 1](#) , 23 - that the respondents' product is really only egg flip and that the respondents, by misrepresenting it as advocaat, have been using and appropriating part of the goodwill attached to the name 'advocaat,' part of which goodwill belongs to the appellants. They may also have damaged the goodwill by applying it to an inferior product.

It is right to mention the judge's finding that the respondents have at all times been quite open in their activities and have maintained that their description of their goods is true and innocent. They received some encouragement from the failure of a prosecution at the instance of the Customs and Excise Commissioners in which it appears that the learned judge of the Crown Court at Beverley held, in effect, that the name 'Keeling's Old English Advocaat' did not indicate that the product was, or bore any resemblance to, any description of spirits for the purposes of [section 162 \(1\) of the Customs and Excise Act 1952](#) . The only relevance of that prosecution is to vouch the respondents' frankness.

The action is a passing off action, though not of the classical kind. Paragraph 5 of the statement of claim is in the following terms. **751*

'The defendants have passed off and intend to pass off a beverage not consisting basically of the aforesaid ingredients as and for advocaat by advertising, offering for sale and selling a beverage, being an egg flip, consisting basically of a mixture of wine and eggs.'

Both Goulding J. and the Court of Appeal treated the action as a passing off action, though Buckley L.J. pointed out that it was not one of the classical kind in respect that the appellants do not maintain that the respondents were passing off their advocaat as advocaat manufactured by the appellants, but merely that they were passing off their product as advocaat. The classic form of the tort of passing off required that the defendant must have claimed that his goods were the plaintiff's goods and not merely that they had qualities which were peculiar to plaintiff's goods. One of the most emphatic statements of the law on this point was made by Lord Watson in *Singer Manufacturing Co. v. Loog* (1882) 8 App.Cas. 15 , 38-39 as follows:

'The legal consequence of these facts is that the appellant company have a right - an exclusive right, to use the name 'Singer' as denoting sewing machines of their manufacture; and that no one has a right to use the word for the purpose of passing off his goods as theirs, or, even when he is innocent of that purpose, to use it in any way calculated to deceive or aid in deceiving the public. None of the numerous authorities cited at the bar by the appellants' counsel carry the exclusive right of a trader to a particular name, beyond that limit. There is no authority, and, in my opinion, no principle for giving the trader any higher right. If he cannot allege and prove that the public are deceived, or that there is a reasonable probability of deception, he has no right to interfere with the use of the name by others.' (My italics)

In *Reddaway v. Banham* [1896] A.C. 199 Lord Herschell said, at p. 209:

'The principle which is applicable to this class of cases was, in my judgment, well laid down by Lord Kingsdown in *Leather Cloth Co. Ltd. v. American Leather Cloth Co. Ltd.* (1865) 11 H.L.C. 523 . It had been previously enunciated in much the same way by Lord Langdale in the case of *Croft v. Day* (1845) 7 Beav. 84 . Lord Kingsdown's words were as follows: 'The fundamental rule is, that one man has no right to put off his goods for sale as the goods of a rival trader, and he cannot, therefore (in the language of Lord Langdale, in the case of *Perry v. Truefitt*, 6 Beav. 66), be allowed to use names, marks, letters, or other indicia, by which he may induce purchasers to believe that the goods which he is selling are the manufacture of another person'.'

The law so stated was slightly extended in *A. G. Spalding & Bros. v. A. W. Gamage Ltd.*, 84 L.J. Ch. 449 to cover a case where the defendant had in his hands the goods of another of a particular class or quality, and represented them as being the goods of that other trader of a different quality or belonging to a different class. Lord Parker of Waddington, with whose speech in the House of Lords Lord Atkinson and Lord Sumner agreed, treated the case as raising a proposition which was simply a *752 corollary of the classic law. Lord Parker also explained the legal basis of the passing off action as follows, at p. 450:

'There appears to be considerable diversity of opinion as to the nature of the right, the invasion of which is the subject of what are known as passing off actions. The more general opinion appears to be that the right is a right of property. This view naturally demands an answer to the question, Property in what? Some authorities say, property in the mark, name, or get-up improperly used by the defendant. Others say, property in the business or goodwill likely to be injured by the misrepresentation. Lord Herschell, in *Reddaway v. Banham* [1896] A.C. 199 expressly dissents from the former view, and if the right invaded is a right of property at all, there are, I think, strong reasons for preferring the latter view.'

Lord Parker went on to state those reasons but I do not think it is necessary to repeat them here as his view is now generally accepted. As my noble and learned friend, Lord Diplock, said in *Star Industrial Co. Ltd. v. Yap Kwee Kor* [1976] F.S.R. 256 , 269:

'Whatever doubts there may have previously been as to the legal nature of the rights which were entitled to protection by an action for 'passing off' in courts of law or equity, these were laid to rest more than 60 years ago by the speech of Lord Parker of Waddington in *Spalding v. A. W. Gamage Ltd.*, 32 R.P.C. 273 ('the Gamage case') with which the other members of the House of Lords agreed. A passing off action is a remedy for the invasion of a right of property not in the mark, name or get-up improperly used, but in the business or goodwill likely to be injured by the misrepresentation made by passing off one person's goods as the goods of another. Goodwill, as the subject of proprietary rights, is incapable of subsisting by itself. It has no independent existence apart from the business to which it is attached. It is local in character and divisible; if the business is carried on in several countries a separate goodwill attaches to it in each. So when the business is abandoned in one country in which it has acquired a goodwill the goodwill in that country perishes with it although the business may continue to be carried on in other countries.'

Before the champagne case, successful passing off actions in England had usually, though not invariably, been at the instance of a party who had the exclusive right to the goodwill attached

to some particular name, mark or get-up, and who complained that the defendant was invading his right by using the name, mark or get-up to misrepresent his goods as those of the plaintiff. The exceptions were fully considered by Danckwerts J. in the champagne case. They were rather special cases in which by succession from a common author, or in consequence of some particular history of events, the right to use a name or description for their products was shared by two or more parties to the exclusion of the rest of the world. The champagne case was the first case in England that clearly accepted the principle that parties who did not have an exclusive right to use a particular trade name, but who *753 were only some members of a class consisting of all those who had a right to use the name, were entitled to protect the name by a passing off action. There were only 12 plaintiffs. There were over 200 manufacturers of genuine champagne, although they may not all have been shippers of it to the English market and therefore may not all have had any goodwill in England. But quite plainly the plaintiffs only formed a small part of the class of shippers who together owned the goodwill in England. The defendants were makers of a Spanish sparkling wine, which they had begun to sell in England as 'Spanish champagne.' The novelty and importance of the decision lay in the nature of the misrepresentation against which the plaintiffs were held to be entitled to protection. The misrepresentation was not that the defendants' product was the product of the plaintiffs, or even that it came from France. The misrepresentation was that 'Spanish champagne' was wine of the kind that enjoyed the reputation and goodwill which attached to genuine champagne, and in which the plaintiffs had a property right.

Assuming for the moment that the champagne case was rightly decided, the first question is whether it is distinguishable from the present case. An obvious feature of that case, and of two other cases in England that followed it, the sherry case (*Vine Products Ltd. v. Mackenzie & Co. Ltd.* [1969] R.P.C. 1) and the Scotch whisky case (*John Walker & Sons Ltd. v. Henry Ost & Co. Ltd.* [1970] 1 W.L.R. 917), but which is absent from the present case, is that the products of the plaintiffs were described by names which had geographical connotations related to the place of origin of the materials from which the product was made. In the champagne and sherry cases the products, as well as being made from materials from the named districts, were also manufactured there. But in the Scotch whisky case it was held that blenders who blended only whiskies distilled in Scotland with other whiskies distilled in Scotland were entitled to use the description 'Scotch whisky' wherever the actual blending took place, whether in Scotland or elsewhere.

In the champagne case Danckwerts J. [1960] Ch. 262 said, at pp. 283-284:

'There seems to be no reason why... licence should be given to a person, competing in trade, who seeks to attach to his product a name or description with which it has no natural association so as to make use of the reputation and goodwill which has been gained by a product genuinely indicated by the name or description. In my view, it ought not to matter that the persons truly entitled to describe their goods by the name and description are a class producing goods in a certain locality, and not merely one individual. The description is part of their goodwill and a right of property.'

The reference to 'a class *producing goods in a certain locality*' was of course directed to the facts of the particular case. But it cannot, in my opinion, be essential that the class should be defined by reference to the locality in which the members produce the goods, provided it is clearly defined in some way. How can it matter whether the name *754 by which the genuine product is known has a geographical origin or has no natural connection with the product, or is simply invented, provided that it is distinctive of a particular class of goods? In the present case, as in the champagne case, the plaintiffs are members of a class, which consists of all those who market in England the product genuinely indicated by a particular name. The fact that the name advocaat differs from champagne in respect that it has no geographical significance seems to me neither here nor there. It does have a definite meaning, as the learned judge held in the passage I have already quoted from his judgment at p. 21, and the misrepresentation here was I think of exactly the same kind as in the champagne case. Goulding J. said [\[1978\] F.S.R. 1](#) , 13:

'It has not been proved that any purchaser or consumer of the [respondents'] Old English Advocaat ever supposed it, or is ever likely to suppose it, to be the goods supplied by the [appellants], ... or to be Dutch advocaat of any make. There is, however, no doubt that members of the public believe, and have been deliberately induced by the [respondents] to believe, that in buying their Old English Advocaat they are in fact buying advocaat.'

That is to say the misrepresentation was that the respondents' 'Old English Advocaat' was a liqueur of the kind that enjoyed the reputation attached to genuine advocaat in England. I note in passing that the justification for the passing off action to prevent such misrepresentation continuing is not to protect the public (who might suffer no prejudice from it, if they had never tasted genuine advocaat) but to protect the appellants' property in the goodwill.

In the champagne case, as in this case, the class, membership of which gives the plaintiff the right to sue, consists of all those who sell the genuine product in England under the distinctive name by which it is known here, and who together are the owners of the goodwill or reputation attaching to the name in England. In that case, as in this, membership of the class may vary from time to time. An existing trader who discontinues sales of the genuine product in England would cease to belong to the class and the class would thereby be reduced. Conversely, a new trader who begins to sell the genuine product would become a member of the class when he had become well enough established to have acquired a substantial right of property in the goodwill attaching to the name. In either case the class is open to new members provided they qualify themselves by acquiring the necessary goodwill, which they can do by selling, in the one case under the name 'Champagne' a wine made in Champagne by the correct process from grapes grown there, and in the other case

under the name 'advocaat' a liqueur made according to the Dutch recipe. But although membership of the class can change, it must be definite and ascertainable at any particular time if it is to carry a right to sue an action for passing off. In the present case, as in the champagne case, the class is definite and ascertainable.

In the Court of Appeal [1978] F.S.R. 473 Buckley L.J. decided against the appellants mainly on the ground that he considered the name 'advocaat' to be purely descriptive and not distinctive, in contrast to *755 champagne which he considered to be distinctive. He said (rightly in my opinion) at p. 482 that 'at least some measure of distinctiveness is essential for the trade name or description to be capable of giving rise to a claim to relief against passing off.' But in my opinion the learned Lord Justice did not give sufficient weight to the findings of the judge which I have already quoted, and especially to his finding ([1978] F.S.R. 1 , 21) that advocaat'was a distinct and recognisable species of beverage.' Goff L.J. seems to me to have made what I regard, with all respect, as the same error, when he said [1978] F.S.R. 473 , 496 that it had not been found that'there was something to entitle the [appellant] to say that 'advocaat'... distinguishes their product or the products of some limited class from all other beverages of the like character...' I do not think that the terms'descriptive' and 'distinctive,' as applied to names of products, are mutually exclusive. Names which begin by being descriptive, such as Carrara marble and Vichy water and, of course, Champagne, may in the course of time become distinctive as well as descriptive. The name'advocaat' although never descriptive, has, as Goulding J. found, become distinctive. Had it not been for the omission to give weight to this finding by the judge, I do not think that Buckley L.J. would have regarded the decision in *Native Guano Co. v. Sewage Manure Co.*, 8 R.P.C. 125 as binding upon him here, for he said, at p. 492, that it was binding 'where a name is purely descriptive of a kind of goods...' I agree with the observations on the *Native Guano* case by my noble and learned friend, Lord Diplock, whose speech I have had the privilege of reading in draft. Goff L.J. gave weight to the meaning of the name in other countries, including Germany. In my opinion its meaning in countries other than England is immaterial because what the court is concerned to do is to protect the plaintiffs' property in the goodwill attaching to the name in England and it has nothing to do with the reputation or meaning of the name elsewhere.

For these reasons I do not consider that the champagne case can be distinguished from the present case. The question therefore remains whether the champagne case itself was rightly decided or not. As I have already said, I think that that case went rather further than the previous decisions in passing off cases. I would respectfully adopt the words of traditional legal theory used by Cross J. in the sherry case *Vine Products Ltd. v. Mackenzie & Co. Ltd.* [1969] R.P.C. 1 , 23, where he said that the champagne case 'uncovered a piece of common law or equity which had till then escaped notice...' But the decision is in my opinion soundly based on the principle underlying the earlier passing off actions, which I take to be that the plaintiff is entitled to protect his right of property in the goodwill attached to a name which is distinctive of a product or class of products sold by him in the course of his business. It is essential for the plaintiff in a passing off action to show at least the following facts:- (1) that his business consists of, or includes, selling in England a class of goods to which the particular trade name applies; (2) that the class of goods is clearly defined, and that in the minds of the public, or a section of the public, in England, the trade name distinguishes that

class from other similar goods; (3) that because of the reputation of the goods, there is goodwill *756 attached to the name; (4) that he, the plaintiff, as a member of the class of those who sell the goods, is the owner of goodwill in England which is of substantial value; (5) that he has suffered, or is really likely to suffer, substantial damage to his property in the goodwill by reason of the defendants selling goods which are falsely described by the trade name to which the goodwill is attached. Provided these conditions are satisfied, as they are in the present case, I consider that the plaintiff is entitled to protect himself by a passing off action. The argument relied on by the respondents was to the effect that, unless there has been a passing off of the defendant's goods as the plaintiff's goods, there can be no direct injury to the plaintiff entitling him to raise an action for passing off. Any other kind of unfair trading may, it was said, render the trader liable to criminal or civil proceedings under Acts such as the Food and Drugs Act 1955 or the [Trade Descriptions Act 1968](#), or to proceedings at common law by the Attorney-General in the public interest either for criminal penalties or for an injunction, but does not amount to a tort against the party whose goodwill is damaged by the unfair competition of goods which are falsely described. If that were the law it would, I think, be unfortunate. Of course, any established trader is liable to have his goodwill damaged by fair competition, and it is not every falsehood told by a competitor that will give him a right of action. But where the falsehood is a misrepresentation that the competitor's goods are goods of definite class with a valuable reputation, and where the misrepresentation is likely to cause damage to established traders who own goodwill in relation to that class of goods, business morality seems to require that they should be entitled to protect their goodwill. The name of the tort committed by the party making the misrepresentation is not important, but in my opinion the tort is the same in kind as that which has hitherto been known as passing off.

The decision in the champagne case has now stood for about 18 years and it has been followed in other cases in England and abroad. It has met with express approval from Cross J. in the sherry case and from Foster J. in the Scotch whisky case, and also from judges in New South Wales (see *Scott v. Tuff-Kote (Australia) Pty. Ltd.* [1975] 1 N.S.W.L.R. 537) and in Hong Kong (see *Shaw Brothers (Hong Kong) Ltd. v. Golden Harvest (H.K.) Ltd.* [1972] R.P.C. 559). It was referred to without disapproval by Buckley, Goff and Waller L.JJ. in *H. P. Bulmer Ltd. and Showerings Ltd. v. J. Bollinger S.A.* [1978] R.P.C. 79. It does not seem to have led to an excessive flood of litigation or to other unforeseen difficulties and I see no reason, therefore, why it should not be recognised as a proper application of the principle of passing off to the circumstances of that case.

I would allow the appeal and restore the order made by Goulding J.

LORD SCARMAN.

My Lords, I have had the advantage of seeing in draft the speeches delivered by my noble and learned friends, Lord Diplock and Lord Fraser of Tullybelton. I agree with them and for the reasons which they give would allow the appeal.

Representation

Solicitors: Ashurst, Morris, Crisp & Co: Gouldens .

Appeal allowed. (F. C.)

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